

LAKESIDE FINANCIAL

Advice for life

Comprehensive Financial Strategy Paper

Retirement, Superannuation, Property & Estate Planning

Prepared for

Andrew & Jodie Davidson

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Status: Draft for Discussion — this paper is prepared as a planning document for client review and is not a Statement of Advice.

Scope — This paper sets out a comprehensive strategy view across retirement, superannuation, property, investment and estate planning for the Davidson household. Insurance arrangements have been reviewed separately and are explicitly out of scope of this paper. All indicative figures are based on information provided as at the date of preparation; items marked [TO CONFIRM] require client verification before final advice is issued.

1. Executive summary

Andrew (61) and Jodie (59) are entering a high-impact transition window. Andrew plans to step out of full-time work between July and December 2026, moving to a casual three-day-per-week arrangement through to approximately July 2028, after which he expects to fully retire. Jodie continues to operate her self-employed jewellery business in Melbourne. Andrew is the primary income earner at approximately \$123,000 gross p.a.; Jodie's taxable income from the business is approximately \$30,000 p.a. A confirmed informal family understanding is in place with Jodie's sister Kendra to potentially sell the Ocean Grove property in approximately July 2028, and the Blackburn family home may also be sold around the same time. The household's global assets total \$4.59 million against \$265,000 in liabilities, with a net equity position of \$4.32 million.

The income mix has a meaningful implication for the strategy stack. With Jodie in the 16% marginal bracket and Andrew in the 30% bracket, the most valuable per-dollar tax levers sit with Andrew (concessional contributions, CGT timing post-retirement). For Jodie, the levers that work are the low-income super incentives — spouse contribution offset (paid to Andrew), government co-contribution, and LISTO — none of which require a high marginal rate to be valuable. These are small in dollar terms individually but consistent, automatic where eligible, and worth capturing every year.

Strategy levers ranked

- **Strategy 1** — Andrew FY26 final-year concessional top-up [TIME-CRITICAL]. Andrew has approximately \$6,880 of unused concessional cap headroom for FY26. At 30% marginal rate this saves ~\$1,000 in tax. Time-critical: lost if not actioned before 30 June 2026.
- **Strategy 2** — **Spouse contribution to Jodie [\$540 tax offset to Andrew]**. Andrew contributes up to \$3,000 of after-tax money to Jodie's super each FY → Andrew claims up to \$540 tax offset. Full offset available because Jodie's income is below the \$37,000 threshold. Effective net cost ~\$2,460 to land \$3,000 in Jodie's super. Worth capturing every year through to Andrew's full retirement.
- **Strategy 3** — Government co-contribution for Jodie (50% guaranteed return). Jodie contributes \$1,000 after-tax to her own super → the government adds up to \$500 (50% match) — a 50% guaranteed return on investment in one year, hard to beat anywhere else. Eligible because her income is below the \$47,488 lower threshold. Automatic if the contribution is made and her tax return shows business income. Compounds over multiple years.
- **Strategy 4** — **Low Income Super Tax Offset (LISTO) for Jodie**. If Jodie makes any concessional contribution (personal deductible), the government refunds up to \$500 of the 15% contributions tax. With strategy: \$500 LISTO refund per year × 5 years = \$2,500 captured. Without: \$0. Small, automatic where eligible, and not capturable retrospectively.
- **Strategy 5** — **Downsizer contributions tied to Blackburn sale**. Up to \$300,000 each (combined \$600,000) into super if Blackburn is sold, subject to age 55+ and 10-year-ownership tests being met. Does not affect the non-concessional contribution cap and is not affected by the \$2.0M Transfer Balance Cap test at contribution.
- **Strategy 6** — CMC share portfolio CGT sequencing. Spread approximately \$124,000 of unrealised gain across multiple post-retirement income years to keep Andrew's marginal rate as low as possible. Largest CGT lever in the portfolio.

- **Strategy 7 — Transition to pension phase.** Commence pension phase progressively from Andrew's full retirement (target ~July 2028). Pension-phase earnings are tax-free (subject to the \$2.0M Transfer Balance Cap). Central engine of the retirement income plan.
- **Strategy 8 — Spouse contribution split.** Andrew's prior concessional contributions can be split (up to 85%) into Jodie's super to equalise balances. Doesn't use either party's contribution cap. Maximises combined TBC pension capacity in retirement.
- **Strategy 9 — Staged retirement cash flow planning.** Three phases mapped — full-time (now → Jun 2026), transition (Jul 2026 → Jul 2028), retirement (Jul 2028+). Target \$120,000—\$125,000 net per annum requires at least one property liquidation event around July 2028 (refer Strategies 11 and 12).
- **Strategy 10 — Re-contribution to lift tax-free component (conditional).** Lift the tax-free component of super before benefits eventually pass to the three adult non-dependent children. At ~17% on the taxable component (15% plus Medicare), a \$360,000 re-contribution cycle saves ~\$61,200 in death-benefits tax. **CONDITIONAL** — only worth pursuing if combined super stays under ~\$4.2M (2× indexed Transfer Balance Cap). Division 296 (per-person, \$3M and \$10M indexed thresholds, first liability FY27) is NOT an active constraint at the Davidsons' projected per-member balances.
- **Strategy 11 — Ocean Grove decision tree.** Three live scenarios at the July 2028 window — Exit (sell Davidson 50% share as agreed with Kendra), Buy out Kendra (Davidsons purchase Kendra's 50% share), or Status quo (defer). Davidson share net cash ~\$750k—\$870k on exit; buy-out requires ~\$1.05M plus stamp duty. Cost base reconstruction (Andrew 16% / Jodie 34%) including mixed-use rental adjustments is a critical pre-decision item.
- **Strategy 12 — Blackburn downsize and coastal property scenarios.** Five scenarios modelled around the July 2028 transition. S2 (sell Blackburn \$2M → townhouse ~\$1.4M + exit Ocean Grove) is the cleanest financial path — preserves Blackburn community ties, releases ~\$600k of equity that aligns almost exactly with the combined downsizer cap, and underpins the retirement income target.
- **Strategy 13 — Investment structure review.** Review Andrew's Russell allocation (40% defensive / 18% balanced / 42% growth) against the pre-retirement liability profile and sequence-of-returns risk. Consolidate the \$123,000 work fund into the main Russell account post-employment, subject to confirming no defined benefit component or fund-specific insurance arrangement worth retaining.
- **Strategy 14 — Kids acquiring property (deposit / LMI assistance).** Approximately \$100,000 per child available to assist future property purchases. Under current lending rules, the Home Guarantee Scheme (5% deposit, no LMI) is available to eligible first home buyers — income caps and place limits were removed on 1 October 2025; state-based property price caps remain the main constraint (Victoria \$950k capital / \$650k regional). For non-FHB or above the price caps, parental gift / loan brings LVR below 80% to avoid LMI (~\$20k—\$25k per loan saved). Documented loan structure preferred to outright gift. Co-contribution extension to the children (per Strategy 3) is a separate small-dollar quick win and is folded into that strategy.
- **Strategy 15 — Estate planning upgrade (critical given wealth level).** Critical given the household's global asset base of \$4.59M. Move from basic Wills (currently external to Lakeside) to testamentary trust structures to protect adult-children inheritances and provide intergenerational tax efficiency. Route super death benefits to spouse first, then via the estate / TT structure on second death — this captures intergenerational tax planning and protects adult-children inheritances from relationship breakdown / business risk.

- **Strategy 16** — Insurance: retain Andrew's Lumley IP through the transition phase. Andrew's existing Lumley Disability Gold IP is on guaranteed level rates — a structure no longer available post-October 2021. Retain through the casual phase (2026—2028) while Andrew continues to earn assessable income at ~\$74k. Pull the Lumley policy schedule and PDS before full retirement (mid-2028) to test the cessation-of-employment clause, offset clauses and agreed-value status before deciding whether to continue to age 65.

Key insight — Most of the genuine tax-planning value sits with Andrew. Jodie's super strategy is about capturing the low-income incentives that are available but easy to miss — small individually, meaningful over five years and across both spouses. The major sources of new super capital for Jodie's account come from spouse contribution (from Andrew) and spouse split (from Andrew's concessional contributions), not from her own income. The household is asset-rich but cash-flow modest — strategies that are critical relative to the \$4.59M asset base are those that move material capital efficiently into pension-phase super before 2028.

2. Household snapshot

Andrew Davidson

Age	61
Occupation	Full-time PAYG
Gross salary FY26	\$123,000 (excluding potential bonus up to \$25,000)
Marginal tax rate (FY26)	30% bracket (taxable salary \$114,640 after \$8,360 salary sacrifice) + 2% Medicare levy = 32% effective
FY26 marginal tax brackets (reference)	0–\$18,200: 0% \$18,201–\$45,000: 16% \$45,001–\$135,000: 30% \$135,001–\$190,000: 37% \$190,001+: 45% (plus 2% Medicare on most income)
Retirement plan	Step out of full-time July–December 2026; casual ~3 days/week to ~July 2028; full retirement thereafter
Current company vehicle	FMCV (fully maintained company vehicle) — replacement cost on retirement
Email	adavo@bigpond.net.au

Jodie Davidson

Age	59
Occupation	Self-employed jeweller, Melbourne
Approximate taxable income	\$30,000 p.a. (Excel record FY25 \$25,000)
Marginal tax rate (FY26)	16% bracket — effective rate lower after low-income tax offset
Business structure	Sole trader
Retirement plan	Continuing to operate the business; no stated wind-down
Age 60 milestone	Reaches preservation-age super tax-free withdrawal eligibility within ~12 months
Low-income super eligibility	Eligible for spouse contribution offset (paid to Andrew), government co-contribution, and Low Income Super Tax Offset (LISTO)

Adult children

Luke	27, plumber
Adam	26, electrician
Leah	23, Environmental Science graduate
Dependency status	All three are adult, non-dependents for super death-benefits purposes
Future intent	Approximately \$100,000 per child potentially available to assist with future property purchases. Under current lending criteria the standard route is bringing the LVR below 80% to avoid LMI (~\$20,000–\$25,000 saved per loan). Recent lender changes also permit some 5% deposit / government-backed schemes (e.g. Home Guarantee Scheme) — eligibility varies state-to-state and lender-to-lender, and is income/asset tested for each applicant

Property

Blackburn family home	Approximately \$2,000,000 — owned outright (joint Andrew & Jodie)
Ocean Grove property	Approximately \$2,000,000 total value; Davidson combined share ~\$1,000,000
Ocean Grove ownership	Jodie 34% / Andrew 16% / Kendra (Jodie's sister) 50%
Ocean Grove use	Mixed — partly used by family, partly rented (downstairs section)
Ocean Grove loan	ANZ — approximately \$265,000 (principal & interest, \$2,100/month) — in both names
Offset facility	\$80,000 against Ocean Grove loan (net interest ~\$11,500 p.a. after offset)
Ocean Grove potential sale	Informal family intent to sell approximately July 2028 — not yet formalised. Buy-out option has not yet been raised with Kendra

Investments and cash

CMC share portfolio (Andrew)	Approximately \$180,000 — cost base \$56,000 — unrealised gain ~\$124,000
ANZ Offset account	\$80,000 (joint, against Ocean Grove loan)
ANZ savings (Andrew)	\$1,000
Westpac personal (Jodie)	\$1,000
Westpac business (Jodie)	\$28,000
Vehicles and other valuables	~\$41,000 (Ford Fiesta, 1969 VW, boat & trailer, pod trailer, jewellery \$15,000)

Superannuation

Andrew — Russell Investments	\$1,100,000
Andrew — work super fund	\$123,000 (12% SGC on \$123,000 salary = ~\$14,760 p.a.)
Andrew — current allocation (Russell)	40% defensive / 18% balanced / 42% growth
Andrew — current salary sacrifice	\$8,360 p.a.
Andrew — FY26 concessional position	SGC ~\$14,800 + salary sacrifice \$8,360 = ~\$23,200 against \$30,000 cap; headroom ~\$6,880
Jodie — Russell Investments	\$154,000
Jodie — concessional contribution history	Minimal given low income
Jodie — TSB at 30 June prior FY	Approximately \$154,000 — comfortably below all relevant thresholds
Combined superannuation balance	Approximately \$1,377,000

Combined household cash flow (per current Excel)

Andrew net cash (after salary, super, tax, expenses)	\$20,028 p.a. surplus
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Jodie net cash (after taxable income, expenses)	\$7,650 p.a. surplus
Combined household cash surplus	<u>~\$27,678 p.a.</u>
Andrew expenses (incl. Blackburn + Ocean Grove)	\$77,164 p.a.
Jodie expenses (vehicles, memberships, discretionary)	\$23,110 p.a.
Total household expenses	~\$100,274 p.a.

Combined global balance sheet

Total global assets	<u>\$4,585,040</u>
Total liabilities	\$265,000 (Ocean Grove mortgage)
Total net equity	<u>\$4,320,040</u>
Combined gross income (Andrew + Jodie + rental + shares)	Approximately \$170,000 p.a. (FY26 baseline)
Combined net cash surplus after all expenses	~\$27,678 p.a.

3. Goals and scope of this paper

Stated goals (from recent meeting notes and follow-up correspondence)

- Achieve a sustainable retirement income of approximately \$120,000–\$125,000 net per annum (around \$10,000 per month after tax) from full retirement.
- Step Andrew out of full-time work between July and December 2026, transitioning to casual three-day-per-week work through to approximately July 2028.
- Decide the Ocean Grove future — sell outright at the potential July 2028 window (subject to formal confirmation with Kendra), or buy out Kendra's 50% share and retain (buy-out option has not yet been raised with Kendra).
- Decide the Blackburn future — sell around July 2028 alongside Ocean Grove, or retain as the principal home, or downsize to a smaller Blackburn-area property (e.g. townhouse ~\$1.4M) to release equity for the downsizer contribution and coastal lifestyle option.
- Maintain the option to assist Luke, Adam and Leah with future property purchases — approximately \$100,000 per child to bring loan-to-value ratios below the 80% LMI threshold.
- Update the Wills to a testamentary trust structure for asset protection and intergenerational tax efficiency.
- Maintain Andrew's existing income protection policy through to age 65 (out of scope of this paper but noted).

Scope of this paper

- Retirement readiness and cash flow modelling for the staged 2026–2028 transition.
- Superannuation strategy — concessional, non-concessional, spouse contribution and split, government co-contribution, LISTO, downsizer, re-contribution, pension phase commencement.
- Tax position for Andrew and Jodie under the current FY26 income profile and post-retirement scenarios.
- CMC share portfolio CGT sequencing.
- Property strategy — three scenarios for July 2028 (sell both / buy out + sell Blackburn / sell Ocean Grove only).
- Investment structure review — Russell allocation and work fund consolidation.
- Estate planning upgrade — testamentary trust structures, binding death nominations, powers of attorney.
- Client questions and scenario modelling (Section 22) — responding directly to the specific questions Ross has flagged.

Explicitly out of scope

- Detailed insurance product analysis (Life, TPD, Trauma, Jodie's cover) — reviewed separately. NOTE: this paper retains the recommendation to keep Andrew's existing Lumley level-premium IP to age 65 (Strategy 15) because of the irreplaceable level-premium structure — that recommendation is specifically in scope despite the broader insurance review sitting outside.
- Jodie's business operations and structure — beyond establishing taxable income.
- Property purchase advice (any specific Blackburn-area townhouse, caravan site, coastal property) — modelled at indicative price points only.

- Estate solicitor selection and Will drafting — recommendation only, drafting referred.
- Detailed accounting / SMSF compliance — current arrangements are APRA-regulated retail super, not SMSF.

Reliance on information provided

This paper has been prepared by Tristan (Lakeside Financial) with adviser oversight from Ross Hennig, based on information provided by the Davidsons and Ross, including: the Financial Plan Information Excel workbook (provided 3 June 2026); the email correspondence chain dated 2 October 2025, 18 October 2025, and 21 May 2026; and Ross's summary email questions dated 3 June 2026. Several items are flagged in-text as [TO CONFIRM] and should be verified before any formal advice document is issued. Tax law cited reflects FY26 thresholds; future-year strategies assume current legislation continues but acknowledge the announced changes to large super balance taxation (Division 296 / \$3M threshold) and the broader review of tax-related legislation referenced in the May 2026 meeting summary.

4. Andrew's current tax position (FY26)

Income breakdown

Item	Amount FY26	Notes
Gross salary	\$123,000	Per Excel
Gross bonus	Excluded from baseline	Up to \$25,000 possible; conservatively not modelled
Less: salary sacrifice to super	(\$8,360)	Currently in place
Taxable salary (after sacrifice)	\$114,640	Below \$135,000 — 30% marginal rate band
Plus: rental income (50% share OG)	\$5,760	Based on 48 weeks at \$240/week
Plus: share portfolio investment income	\$5,450	~\$1,000 cash, \$4,500 reinvested
Approximate taxable income	~\$125,850	Still inside 30% MTR bracket (cap \$135,000)
FMCV (company car)	Non-cash benefit	Likely reportable fringe benefit on PAYG summary (If for private use)

Observations

- Andrew sits just below the \$135,000 threshold where the 37% bracket starts. Every dollar of additional concessional contribution above the current \$8,360 sacrifice saves 30% income tax less 15% contributions tax = a 15% net benefit until the cap is reached.
- Current concessional contributions = SGC ~\$14,760 + salary sacrifice \$8,360 = ~\$23,120 against the \$30,000 cap, leaving approximately \$6,880 of headroom for the remainder of FY26 (less than four weeks at time of writing).
- If the up-to-\$25,000 bonus is paid before 30 June 2026 and treated as ordinary income, it pushes taxable income through the \$135,000 threshold and into the 37% bracket — increasing the relative attractiveness of pre-tax sacrifice on the bonus portion.
- FMCV company car arrangement ends on retirement. The flow-on consequences (reportable fringe benefits amount affecting income tests for spouse contribution offset, Medicare levy thresholds, etc.) need confirmation from a recent PAYG payment summary. Material for Division 293 too — at ~\$138k Division 293 income (taxable + concessional contributions) Andrew has headroom against the \$250,000 threshold, but the FMCV reportable fringe benefits amount and any bonus payment could narrow it materially. Confirm before any additional concessional contribution is made.

Forward years (FY27 transition + FY28)

Andrew's stated plan is to step down to approximately three days per week between July/December 2026 and July 2028. At three days per week his ordinary income drops to approximately 60% of current — broadly \$74,000 salary (pro-rata) plus 12% SGC of ~\$8,800. He moves into the 16% / 30% marginal bracket boundary range, and the relative tax saving on further concessional contributions reduces. The pre-retirement window (the remainder of FY26 plus full FY27 at full-time, if applicable) is therefore the highest-leverage period for Andrew's own concessional contributions.

Action required — If a termination payment, unused leave payout, long service leave payout, or non-compete / garden leave compensation is payable when Andrew steps down, these are material amounts that attract

specific tax treatment (unused-leave concessional taxation, ETP treatment for genuine redundancy, tax-free thresholds). This should be obtained from the employer and modelled separately before final advice is issued.

5. Jodie's current tax position

Income breakdown

Item	Amount FY26	Notes
Approximate taxable income from business	\$30,000 p.a.	Excel records FY25 at \$25,000 — consistent range
Plus: rental income (50% share OG)	\$5,760	Pro-rata 48-week allowance
Approximate total taxable income	~\$35,760	Still inside 16% bracket until \$45,000
Marginal tax rate (FY26)	16%	After \$18,200 tax-free threshold
Effective tax rate (after low-income offset)	~10–12%	Low Income Tax Offset (LITO) reduces effective rate
Business structure	Sole trader	
Tax-deductible super contribution	~1% per dollar	16% MTR less 15% contributions tax — minimal benefit

Observations

- Jodie's marginal rate is genuinely low. Personal deductible super contributions save only ~1 cent per dollar contributed (16% MTR less 15% contributions tax). The carry-forward concessional cap strategy — which requires a high marginal rate to make the tax saving worthwhile — does NOT apply in her case.
- However, three low-income super incentives ARE specifically designed for Jodie's profile and produce material per-year value: (a) spouse contribution offset paid to Andrew, (b) government co-contribution paid to Jodie's super, (c) Low Income Super Tax Offset (LISTO) refunding contributions tax. These are addressed individually in Strategies 2, 3 and 4.
- Jodie's Total Super Balance is approximately \$154,000 — comfortably under every relevant super threshold (\$500,000 carry-forward, \$2.0M Transfer Balance Cap, \$2.0M non-concessional bring-forward threshold). She has full flexibility on contribution mechanics; what limits her is income, not balance.
- She reaches age 60 within approximately 12 months. From that point, any super withdrawals are tax-free, and full Transition to Retirement options become available regardless of her continuing work in the business.

Excel reconciliation

Reconciliation note — The Excel records Jodie's FY25 taxable income at \$25,000; the current figure used in this paper is \$30,000 per recent client confirmation. The two are broadly consistent — Jodie is genuinely in the low-income range. The minor difference does not affect strategy selection (any income below \$37,000 qualifies for full spouse contribution offset; below \$47,488 qualifies for full government co-contribution).

6. Combined superannuation position

Member	Fund	Balance	Allocation	Contribution status
Andrew	Russell Investments	\$1,100,000	40% def / 18% bal / 42% growth	Salary sacrifice \$8,360 p.a.
Andrew	Work super fund (employer)	\$123,000	[TO CONFIRM]	SGC 12% on \$123,000 = ~\$14,760 p.a.
Jodie	Russell Investments	\$154,000	[TO CONFIRM]	Personal contributions [TO CONFIRM]
Combined	—	\$1,377,000	—	—

Total Super Balance (TSB) — gate to several strategies

Threshold	Andrew TSB ~\$1.22M	Jodie TSB ~\$154k	Implication
Non-concessional bring-forward (\$2.0M from 1 July 2025 (FY26))	Eligible	Eligible — full \$360,000 bring-forward	Both can use bring-forward if proceeds become available (e.g. property sale 2028)
Spouse contribution offset (recipient TSB <\$2.0M)	Recipient must be Jodie	Eligible	Andrew contributes to Jodie's super; Andrew claims the offset
Government co-contribution (recipient TSB <\$2.0M, income tests)	Income too high	Eligible — full \$500 match	Jodie contributes \$1,000 personal NCC; government adds \$500
Transfer Balance Cap (\$2.0M)	Headroom \$780,000 to fill pension account	Headroom \$1.85M	Plenty of room to commence Account-Based Pensions in 2028
Division 296 (per-person, \$3M / \$10M indexed thresholds, FY27 first liability)	Well below per-person threshold	Well below per-person threshold	Per-person test; not an active constraint at projected per-member balances

Income-based eligibility for low-income super incentives

Incentive	Jodie income threshold	Jodie position	Max annual benefit
Spouse contribution offset (claimed by Andrew)	Full offset if recipient spouse income < \$37,000; phases out by \$40,000	Eligible — \$30,000 well below threshold	\$540 tax offset to Andrew (18% of \$3,000 contribution)
Government co-contribution (paid to Jodie's super)	Full \$500 if income < \$47,488 (FY26); nil at \$62,488	Eligible — full match	\$500 paid by government on \$1,000 personal NCC
Low Income Super Tax Offset (LISTO)	Income < \$37,000	Eligible	Up to \$500 refund of contributions tax on concessional contributions

Low-income incentive stack — Per-year benefit from Jodie's low-income incentive stack (if all three are captured): ~\$540 (spouse offset) + \$500 (co-contribution) + small LISTO. Combined inflow to Jodie's super position: ~\$4,000+ in new contributions for net household outlay of approximately \$3,500. Captured across five years of pre-retirement, this builds Jodie's super balance materially without any high-marginal-rate planning required.

7. Strategy 1 — Andrew: maximise concessional cap before 30 June 2026

Why this is time-critical

Andrew's current concessional contributions for FY26 are approximately \$23,120 (SGC ~\$14,760 + salary sacrifice \$8,360) against the \$30,000 cap. He has approximately \$6,880 of headroom remaining. At his current marginal rate of 30%, contributing the remaining headroom saves approximately \$1,030 in income tax (the contributions are taxed at 15% rather than 30%). Modest in absolute terms but worth capturing before the FY26 window closes — the cap is use-it-or-lose-it for Andrew because his TSB above \$500,000 prevents carry-forward.

Legislative basis

- ITAA 1997 Division 291 — concessional contributions cap.
- ITAA 1997 Section 290-170 — Notice of Intent to Claim a Deduction for personal contributions.

Execution

- Make a personal deductible contribution of approximately \$6,880 before 30 June 2026.
- Lodge Notice of Intent to Claim a Deduction with Russell Investments before lodging FY26 tax return (Russell to acknowledge).
- Alternative — adjust the final monthly salary sacrifice with payroll to absorb the remaining cap. Less clean given the tight timing; personal deductible contribution is the more reliable lever in the final weeks of the financial year.
- Confirm exact YTD SGC and salary sacrifice with payroll before contributing to avoid breaching the cap (excess concessional contributions trigger additional tax and administrative complexity).

FY27 onwards — concessional capacity once Andrew steps down

Andrew's TSB of approximately \$1.22 million is above the \$500,000 carry-forward eligibility threshold. He is not eligible to carry forward unused concessional cap from prior years. His FY27 concessional capacity is the standard annual cap, which indexes to \$32,500 from 1 July 2026. Any reduction in his SGC after stepping down to part-time creates additional headroom for personal deductible or salary sacrifice contributions during the transition years.

Year	Andrew status	SGC (est)	Remaining cap headroom for personal contributions
FY26 remaining	Full-time	\$14,760	\$6,880 (current paper)
FY27 (assuming full-time through Jul–Dec, then ~3 days)	Transition	~\$11,000	\$19,000 of headroom (\$21,500 against the FY27 indexed \$32,500 cap)
FY28 (full year at ~3 days)	Casual	~\$8,800	\$21,200 of headroom (\$23,700 against the FY27 indexed \$32,500 cap)
FY29+ (fully retired)	Retired	Nil	Andrew effectively 'has no relationship with the ATO' — minimal taxable income, no tax return required for most years —

concessional contributions stop being a
useful lever

8. Strategy 2 — Spouse contribution to Jodie (Andrew claims \$540 offset)

Mechanics

Where the recipient spouse's assessable income (plus reportable employer super contributions plus reportable fringe benefits) is below the qualifying threshold, the contributing spouse can claim a tax offset of 18% of the spouse contribution, up to a maximum offset of \$540 (i.e. on a contribution of \$3,000 or more). The offset reduces directly to nil as the recipient spouse's income moves from \$37,000 to \$40,000.

The contribution is made by Andrew from his after-tax money into Jodie's super account. It is treated as a non-concessional contribution for Jodie (does not count against her concessional cap; does count against her NCC cap but her cap is full because her TSB is well below \$2.0M). The offset is claimed by Andrew on his personal tax return.

Eligibility check

- Both spouses must be Australian residents for tax purposes. Confirmed for Andrew and Jodie.
- The contribution must be made to a complying super fund — Russell Investments qualifies.
- Recipient spouse must be under age 75. Jodie at 59 — well within range.
- Recipient spouse's TSB at 30 June prior FY must be below \$2.0M. Jodie at \$154k — well within range.
- Recipient spouse must not have exceeded their NCC cap. Jodie's NCC capacity is full.
- Recipient spouse's assessable income (+ RESC + RFB) must be below the threshold. Jodie at ~\$36,000 (taxable + rental) — below the \$37,000 full-offset threshold.

Indicative outcome

Item	Amount
Andrew contributes from after-tax money to Jodie's super	\$3,000
Andrew claims spouse contribution tax offset	\$540
Effective net cost to Andrew	\$2,460
Amount that lands in Jodie's super (no contributions tax on NCC)	\$3,000
Per-year benefit if repeated through to Andrew's retirement (~3 years)	\$9,000 in Jodie's super; \$1,620 in cumulative tax offsets to Andrew

Execution

- Make the \$3,000 contribution to Jodie's Russell account from Andrew's bank account each FY.
- Keep records showing the contribution source (Andrew's after-tax money) and the date.
- Claim the offset at item T3 of Andrew's individual tax return.
- Repeat each FY through to FY28/FY29 (while Jodie's income remains in the qualifying range).

Stack with Strategy 8 — Pair this with the spouse contribution split (Strategy 8) and the spouse contribution offset to build Jodie's super balance from Andrew's resources in three parallel mechanisms — the offset gives \$3,000 of NCC, the split gives 85% of Andrew's concessional contributions transferred across, and the household keeps the tax benefit of the contribution at Andrew's MTR.

9. Strategy 3 — Government co-contribution for Jodie

Mechanics

Where a low-to-middle income earner makes a personal non-concessional (after-tax) super contribution, the government matches up to 50% of the contribution — up to a maximum match of \$500 on a personal contribution of \$1,000. Full match applies up to the lower income threshold; matched amount phases out linearly to nil at the upper threshold.

The match is paid directly into the member's super account by the ATO after the member's tax return is lodged. No additional paperwork is required by the member or the fund — eligibility is automatically assessed from the tax return and contribution data reported by the fund.

Eligibility check (FY26 thresholds — verify at lodgement)

- 10% or more of total income must come from employment or self-employment. Jodie's income is primarily from her jewellery business — qualifies.
- Total income below the upper threshold (FY26 indicative: \$62,488; below \$47,488 for full match). Jodie at ~\$35,760 — eligible for the full \$500.
- Under age 71 at end of FY. Jodie at 59 — eligible.
- TSB at 30 June prior FY below \$2.0M. Jodie at \$154k — eligible.
- Must lodge a personal tax return for the relevant year.
- Personal contribution must be made before 30 June and must NOT have a Notice of Intent to Claim a Deduction lodged (because the deduction makes the contribution concessional, not NCC).

10% rule trap — worked example — The 10% rule catches people out. Example: an adult child earning \$3,000 from a casual McDonald's job, plus a \$15,000 trust distribution. Total income \$18,000 — well under the \$47,488 full-match threshold. Looks eligible at first glance. But: employment income is only \$3,000 of \$18,000 = 17% of total income — qualifies on this test. If the same kid had \$3,000 employment + \$20,000 trust = \$23,000 total, employment share is 13% — still qualifies. But \$3,000 employment + \$30,000 trust = 9% — disqualified. Always check the 10% test before assuming a low-income earner qualifies.

Indicative outcome

Scenario	Jodie contribution (NCC)	Government match	Total into Jodie's super
Minimum to capture full match	\$1,000	\$500	\$1,500
Over five years (FY26 to FY30)	\$5,000 cumulative	\$2,500 cumulative	\$7,500 into Jodie's super

Execution

- Make a \$1,000 contribution from Jodie's after-tax money to her Russell account before 30 June each year.
- Do NOT lodge a Notice of Intent to Claim a Deduction on this contribution (that would re-classify it as concessional and disqualify the co-contribution).
- Confirm Jodie's tax return shows business income (sufficient to satisfy the 10% rule).

- ATO will pay the co-contribution into Jodie's super account automatically after the return is lodged and processed.

Quick win extension — the same strategy applies to Luke, Adam and Leah

The government co-contribution is income-tested but NOT age-restricted (other than the upper limit of 71). Each of the Davidson children could make their own \$1,000 personal non-concessional contribution and capture up to \$500 of government match — a 50% return in one year, with the funds locked in super for decades of tax-free compounding. Eligibility (FY26): full \$500 match where total income is below \$47,488; match phases out to nil at \$62,488. Whether each child qualifies in any given year depends on their actual income at the time of lodgement — no assumption is made here on individual income levels. The conversation point with the family is straightforward: in any year a child's income sits below the threshold, the match is available and worth capturing.

Compounding effect: a \$500 match received in a child's mid-20s, at a 7% long-term return, compounds to approximately \$5,500–\$5,800 in super by retirement age. Across multiple annual cycles per child, even partial captures build to a meaningful intergenerational super outcome over the next four decades.

Family-care framing — quick win across the household — Worth raising as a family conversation in the next meeting. The dollars are small individually but the optics matter — a strategy that includes the kids signals the planning is thinking about the whole family, not just Andrew and Jodie's retirement income. Where each child's income sits inside the eligibility band, a single \$1,000 personal contribution per FY into their existing super fund captures the match. Parents can gift the \$1,000 to facilitate if that suits the family.

Related family-wide planning lever — income protection for the kids

While we are thinking about the children's super, it is worth raising income protection for Luke, Adam and Leah as a separate family-wide planning topic — particularly given each is in early career and long-term financial security depends on their ability to earn:

- Luke (27, plumber) and Adam (26, electrician) — trade earnings, physical work. IP through their super fund is approximately \$1,000 per annum and is often automatic via the fund's default cover. They are at the ideal age and health profile to lock in level-premium life insurance (\$1.5M sum insured at approximately \$1,200–\$1,400 p.a. for males on a level basis — saving up to 80% over a 30–40 year term compared with stepped premiums).
- Leah (23, environmental science graduate) — same logic, even more favourable pricing at her age. Level-premium \$1.5M life cover approximately \$1,000–\$1,100 p.a.
- Why we raise this here: parental engagement on this opens the conversation with the kids about their own financial planning. The household discussion shifts from 'Mum and Dad's retirement' to 'whole-family financial planning' — and the kids' insurance is a natural starting point because it is genuinely low cost relative to the long-term value.
- Cross-reference: insurance for the children is itself outside the scope of this paper but is flagged here as a logical adjacent conversation. Standard adviser process would arrange a separate education / insurance meeting with the children once the broader family financial plan is on foot.

10. Strategy 4 — Low Income Super Tax Offset (LISTO) for Jodie

Mechanics

LISTO is an automatic government refund of the 15% contributions tax paid on concessional contributions for low-income earners. The maximum refund is \$500 per year, and it is paid directly into the member's super account by the ATO after the member's tax return is lodged.

Eligibility check

- Adjusted taxable income below \$37,000. Jodie's taxable income is ~\$30,000 to \$36,000 (depending on rental treatment) — eligible.
- 10% or more of total income from employment or business — qualifies for Jodie.
- Concessional contributions made to a complying super fund — Russell qualifies.

How LISTO interacts with Strategies 1–3

If Jodie makes a personal deductible contribution (concessional) of any amount up to ~\$3,333, LISTO refunds the 15% contributions tax (up to \$500 max). The combination produces a modest but positive outcome even without marginal-rate tax saving:

Jodie concessional contribution	Contribution tax paid by fund (15%)	LISTO refund to fund	Net effect
\$3,333	\$500	\$500	Effective zero contributions tax — contribution lands intact at 16% MTR; saves Jodie ~\$535 income tax
\$2,000	\$300	\$300	Effective zero contributions tax; saves ~\$320 income tax
\$1,000 (NCC instead — for co-contribution)	Nil	n/a (co-contribution applies)	\$500 match — better outcome than LISTO

Practical recommendation

Jodie's first \$1,000 of personal contribution capacity each year is best deployed as non-concessional to capture the government co-contribution (\$500 match). Any additional personal contribution capacity above \$1,000 is best deployed as personal deductible (concessional) to capture LISTO (up to \$500 refund) plus the modest 1% marginal-rate tax saving. Total supplementary super inflow available to Jodie from her own contributions and government matches: up to ~\$1,000 per year above her own contribution.

11. Strategy 5 — Downsizer contribution (Blackburn sale scenario)

Eligibility checklist

- Each spouse must be at least age 55 at the time of contribution (lowered from 60 to 55 from 1 January 2023).
- The dwelling must have been owned by the contributor (or their spouse, or both) for at least 10 years.
- The dwelling must have qualified, in whole or in part, for the main residence CGT exemption.
- Contribution must be made within 90 days of the change in legal ownership (settlement date).
- Downsizer contributions do NOT count toward the non-concessional cap, do NOT require the member to satisfy the TSB rules, and are NOT subject to the work test. Particularly useful for members over 75 or with TSB above \$2.0 million.

Indicative numbers for the Davidson household

Scenario	Andrew downsizer	Jodie downsizer	Combined into super
Blackburn sold July 2028 (Andrew 63 / Jodie 61)	\$300,000	\$300,000	\$600,000
Eligibility status July 2028	Eligible (age, ownership, MR)	Eligible (age, ownership, MR)	Both eligible

Why this is uniquely useful for the Davidson household

- Andrew's TSB is approaching the \$2.0M Transfer Balance Cap. Non-concessional contributions cap reduces as TSB rises. Downsizer contribution sits outside the NCC cap, so \$300,000 can be contributed regardless of his TSB position at the time.
- Sequencing matters: the downsizer contribution does NOT trigger or count against the 3-year non-concessional bring-forward. The household can therefore run a re-contribution strategy (Strategy 10) and a downsizer contribution in the same year if both are required.
- \$600,000 added to super lifts the combined retirement income generation capacity by approximately \$30,000–\$36,000 p.a. at conservative pension-phase drawdown rates.

Considerations to surface with the clients

- Selling the current Blackburn home means the main residence CGT exemption applies on sale (no CGT). The replacement home — assumed to be a smaller Blackburn-area property (e.g. a townhouse at ~\$1.4M) — becomes the new main residence, preserving full CGT-exemption on that home from the purchase date forward.
- Once the contribution is in super and the member moves into pension phase, those funds are subject to Transfer Balance Cap testing. If combined post-2028 super balance is materially above ~\$4.2M (2 × the indexed TBC by 2028), excess sits in accumulation paying 15% earnings tax. Division 296 (per-person, \$3M and \$10M indexed thresholds, first liability FY27) is not engaged at the Davidsons' projected per-member balances.
- The downsizer election form must be lodged with the super fund at or before the contribution; late lodgement is not accepted by the ATO.

12. Strategy 6 — CMC share portfolio CGT sequencing

Current position

Current market value	~\$180,000
Cost base	~\$56,000
Unrealised capital gain	~\$124,000
Likely 50% discount eligibility	Yes — assumed held >12 months ([TO CONFIRM] acquisition dates of each holding)
Assessable gain after discount (full sale today)	~\$62,000
Tax on full sale at Andrew's FY26 MTR (30%)	~\$18,600
Tax on full sale at top MTR (47%) — if pushed into top bracket	~\$29,140

Sequencing options

Option	Timing	Approx. tax outcome	Strategic fit
Sell all in FY26	Before 30 June 2026	~\$18,600 (income stays under \$135k bracket)	Captures liquidity now; loses 2 years of franking / dividend
Sell all in FY27 (transition year)	Andrew at ~\$74k income	Likely \$11,000–\$15,000 (lower MTR on stepped-down income)	Higher net retention
Stagger across FY28/FY29 post-retirement	Andrew minimal employment income	Possibly \$0–\$10,000 (gain falls into 0%–16% brackets if structured)	Highest after-tax return
Stagger and re-contribute to super	Post-July 2028	Tax on gain + add to super via non-concessional	Combines CGT discipline with super top-up
Hold indefinitely	—	Nil current tax but liquidity / single-stock risk remains	Suitable only if no need for funds; concentrated risk

Recommended approach

Stagger the sale across the post-retirement years (FY29 and beyond), keeping Andrew's marginal rate as low as possible during the realisation period. Pair with non-concessional super contributions to fold the after-tax proceeds into the tax-free retirement-income engine. Confirm specific holdings, acquisition dates, and any franking credit / dividend reinvestment plans before locking the sale schedule.

13. Strategy 7 — Transition to Retirement and pension phase commencement

Where the members sit on the glide path

- Andrew is 61 — past preservation age (60). He can commence a Transition to Retirement (TTR) pension immediately if he chooses, while still working.
- Jodie is 59 — reaches preservation age (60) within ~12 months. From that point she can commence TTR while continuing to operate her business.
- Once Andrew satisfies a full condition of release (likely on full retirement after July 2028), his TTR pension can convert to an Account-Based Pension (ABP) with tax-free earnings.
- Jodie's pension commencement can be timed to her business wind-down or to her stated intent to keep operating. If she continues working, TTR remains the relevant phase; pension earnings are taxed at 15% during TTR phase but withdrawals are tax-free for members 60+.

Options on the table

- Option A — Both commence TTR pre-July 2028 (Andrew now, Jodie at 60). Tax-free withdrawals supplement income; pension drawdown forces 4% minimum annual payment (maximum 10%). Useful if cash flow is tight in transition years.
- Option B — Andrew commences ABP on full retirement July 2028 (tax-free earnings from then). Jodie continues accumulation while still working. Standard sequencing.
- Option C — Andrew commences ABP partial (~\$1.5M to pension, \$400k–\$700k stays in accumulation to receive ongoing contributions / re-contribution / downsizer). Both members in pension phase by 2029.
- Option D — Delay pension start. Continue accumulation phase post-retirement to receive lump sum downsizer / property proceeds first, then commence ABP in one large rollover. Cleaner administration; foregone tax-free earnings during the delay.

Indicative tax saving from starting a pension

Accumulation-phase super earnings are taxed at 15% (10% on discounted capital gains held >12 months). Pension-phase earnings (within the \$2.0M Transfer Balance Cap per member) are taxed at 0%. On a combined post-2028 super balance of approximately \$2.5 million earning 7% p.a. — \$175,000 of investment earnings annually — the differential is:

Phase mix	Annual tax on \$175,000 earnings	Annual saving vs full accumulation
100% accumulation	\$26,250 (15%)	Baseline
Both members at TBC (\$2.0M each = \$4.0M cap, full pension)	Nil up to TBC	~\$26,250 saved p.a.
Combined \$2.5M in pension (full ABP)	Nil	~\$26,250 saved p.a.

Timing question for cash flow modelling — The decision on when each spouse commences ABP is one of the higher-leverage timing questions in the plan. Commencing earlier captures tax-free earnings sooner; commencing later allows lump-sum inflows (property sale, downsizer, re-contribution) to be added to

accumulation first before the cap-locked pension account starts. The pragmatic answer for most households is to commence on full retirement, then do a second commencement after the downsizer / re-contribution cycle completes. This needs to be modelled in the detailed cash flow.

14. Strategy 8 — Spouse contribution split (Andrew → Jodie)

Mechanics

A contribution split allows up to 85% of the previous financial year's concessional contributions made by one spouse to be transferred to the other spouse's super account. This is a roll-over within super; it is not a new contribution and does not affect either party's contribution caps. The transferred amount is added to the receiving spouse's accumulation balance.

Why this is useful for the Davidson household

- Equalises balances between the partners. Jodie's balance is materially smaller (\$154,000 vs Andrew's combined \$1.22M). Building Jodie's balance creates more headroom under the Transfer Balance Cap for her own pension account in retirement.
- Each member has their own \$2.0 million Transfer Balance Cap. Two members each with \$1.5M in pension is more tax-efficient than one member with \$3M (the excess being either in accumulation phase paying 15% earnings tax or above the new Division 296 \$3M threshold).
- Splitting Andrew's concessional contributions (employer SGC plus his own salary sacrifice) into Jodie's account each FY shifts future investment earnings into her balance, where she has more decades of pension-phase tax-free runway.
- Pairs naturally with Strategy 2 (spouse contribution offset). Both deliver Andrew's resources into Jodie's super, but via different mechanisms — Strategy 2 puts after-tax \$3,000 into Jodie's NCC each year; Strategy 8 transfers ~85% of Andrew's prior-year concessional contributions (potentially \$19,000+ p.a.) without using anyone's cap.

Eligibility check

- Receiving spouse must be under preservation age (60), OR between preservation age and age 65 and not retired. Jodie is 59 — eligible. After Jodie turns 60, eligibility continues provided she remains working.
- Andrew's super fund must allow contribution splits. Russell Investments accepts splits in most products
- Split request lodged in the financial year after the contributions were made (e.g. split FY26 contributions during FY27, before 30 June 2027).

Indicative split amounts

Source year	Andrew concessional contributions	Max splittable (85%)	Effect on Jodie's balance
FY26	~\$30,000 (at cap)	~\$25,500	Direct addition to Jodie's super in FY27
FY27 (transition year)	Lower if working part-time	Lower proportional split available	Continued balance equalisation
FY28 (last year before retirement)	Lower again	Proportionally lower	Final split year before pension phase begins

Execution

- Lodge the spouse split request with Andrew's super fund(s) in the financial year AFTER the contributions were made.
- Split applies to both the Russell account and the work super fund — separate requests required.
- Confirm receiving fund (Jodie's Russell account) will accept the rollover.
- Set up the split as an annual standing process for FY26, FY27, FY28 contributions.

15. Strategy 9 — Staged retirement cash flow planning

The three phases

Phase	Period	Andrew status	Combined ordinary income (indicative)
Phase 1	Now → June 2026	Full-time PAYG	Andrew \$123k + Jodie \$30k + rental + shares = ~\$164,000
Phase 2	July 2026 → July 2028	Casual ~3 days/week	Andrew ~\$74,000 + Jodie \$30,000 + rental + shares = ~\$115,000
Phase 3	July 2028 →	Fully retired	Investment / pension income only — target \$120k–\$125k net combined

Target retirement income breakdown

The stated target is \$120,000–\$125,000 net per annum, or ~\$10,000 per month after tax. Current household expenses per the Excel are approximately \$100,000 per annum combined (Andrew \$77,164 + Jodie \$23,110). The target therefore embeds approximately \$20,000–\$25,000 of buffer for lifestyle uplift, holidays, and post-retirement vehicle running costs (Andrew loses the FMCV company vehicle on retirement — estimated additional ~\$8,000–\$12,000 p.a. for vehicle running costs).

Funding sources in Phase 3

- Combined super income — projected balance July 2028: ~\$1.6M–\$2.5M depending on contribution strategy execution, property sale outcomes, and investment performance. At 5% drawdown rate this generates \$80,000–\$125,000 p.a., all tax-free in pension phase for members 60+.
- Investment income — Andrew's CMC share portfolio (~\$180,000 current) generating ~\$5,500 p.a.
- Property income — if Ocean Grove is retained / Kendra bought out: ~\$11,500 p.a. net rental (50% share at ~\$10k–\$11k currently increases to 100% share at ~\$20k–\$23k).
- Property sale proceeds — Blackburn / Ocean Grove residual (after CGT, costs, downsizer contribution) flowing into investment account or further super contributions.
- Government age pension — Andrew turns 67 in 2032, Jodie in 2034 (current age pension qualifying age). Likely above asset test cut-off unless asset base is significantly reduced; detailed modelling required.
- Possible continued part-time business activity from Jodie if she chooses to keep operating beyond Andrew's retirement.

Adequacy assessment — preliminary

Preliminary view — On preliminary numbers, the household will meet the \$120,000–\$125,000 net target **ONLY if at least one property sale occurs at or around July 2028**. Without a property liquidation event, the combined super and investment income alone falls short of the target. The Blackburn sale + downsizer contribution is the path of least friction (CGT-exempt main residence, \$600k combined downsizer, releases the asset most efficiently). Detailed cash flow modelling across Phase 2 and Phase 3 is required to confirm.

16. Strategy 10 — Re-contribution: lifting the tax-free component (conditional)

Conditionality check — \$4.2M cap (FY27 indexed) — Re-contribution is only worth pursuing if the household's combined super balance is projected to stay **BELOW** approximately \$4.2M (2 × indexed Transfer Balance Cap by 2028). Above that, excess balance sits in accumulation paying 15% earnings tax. Davidson household current trajectory: combined super ~\$1.38M today, growing to ~\$1.6M by July 2028 before any downsizer. If Blackburn is sold + \$600k downsizer used + a portion of Ocean Grove proceeds directed to super (potential further \$400k via NCC bring-forward), combined super could reach ~\$2.6M–\$3.0M post-2028 — below the \$4.2M threshold and well within the zone where re-contribution still adds value. Division 296 (per-person, \$3M / \$10M indexed thresholds, first liability FY27) is **NOT** engaged at the Davidsons' projected per-member balances even after Blackburn proceeds and downsizer — noted here for the avoidance of doubt.

Why this matters for adult non-dependent children

Super balances are made up of a tax-free component (after-tax non-concessional contributions plus pre-1983 service) and a taxable component (concessional contributions, employer contributions, and investment earnings on both). When a super death benefit is paid to a non-dependent adult — which describes Luke, Adam and Leah — the taxable component is taxed in their hands at up to 17% (15% plus Medicare levy). The tax-free component is exactly that — tax-free.

A re-contribution strategy withdraws a lump sum from super (tax-free once the member is 60+ and retired or meets a condition of release), then re-contributes the same amount as a non-concessional contribution. The re-contributed amount lands in the tax-free component, permanently improving the eventual tax outcome for the children.

Indicative impact for Andrew

Assume Andrew's \$1.22M super balance is currently 100% taxable component (typical for a member whose contributions have all been employer / concessional / salary sacrifice). On Andrew's eventual death, with the balance flowing to the children:

Component	Amount	Tax to children at 17%
Taxable component (current)	\$1,220,000	~\$207,400
Tax-free component (current)	\$0	Nil
After \$360,000 re-contribution (3-year bring-forward)	Taxable \$860,000 / Tax-free \$360,000	~\$146,200 (saving ~\$61,200)
After \$720,000 re-contribution (two cycles)	Taxable \$500,000 / Tax-free \$720,000	~\$85,000 (saving ~\$122,400)

Mechanics and execution

- Wait until Andrew is 60+ AND retired (or meets a condition of release for a tax-free withdrawal). Jodie reaches the same condition within ~12 months. The first re-contribution cycle can begin once either spouse meets the test.

- Withdraw up to \$360,000 lump sum (using the 3-year non-concessional bring-forward cap, $\$120,000 \times 3$) from super.
- Re-contribute the same amount as a non-concessional contribution within the same financial year. Land it in a separate sub-account or interest if the fund supports it for cleaner component tracking.
- Repeat in a subsequent 3-year cycle (e.g. age 63+) up to the available non-concessional bring-forward cap. TSB thresholds (FY26): TSB at 30 June prior FY < \$1.76M for full \$360,000 bring-forward; < \$1.88M for \$240,000 (2-year); < \$2.0M for \$120,000 (single year only). Verify at the relevant test date.
- Document the trail (withdrawal statement, contribution receipt, NOI not required for non-concessional) so the tax-free vs taxable component is clean if ever audited.

Timing note — Re-contribution is most powerful when paired with timing — execute it after Andrew finishes work and before pension phase commences, OR during a year when other lump sum activity (e.g. property sale proceeds) is moving through. Do not run a re-contribution cycle in a year where the non-concessional bring-forward window has already been triggered by other inflows.

17. Strategy 11 — Ocean Grove decision tree

Confirmed facts

- Davidson combined ownership: 50% (Jodie 34% / Andrew 16%); Kendra 50%.
- Informal family understanding of a potential sale approximately July 2028 — not yet formalised in writing. Buy-out option (Davidsons purchasing Kendra's 50%) has NOT yet been raised or discussed with Kendra.
- Current Davidson share value: approximately \$1,000,000.
- ANZ loan ~\$265,000 (in both Davidson names) with \$80,000 offset; net interest ~\$11,500 p.a.
- Rental income (Davidson 50% share, downstairs): ~\$11,520 p.a. gross (\$5,760 each Andrew and Jodie, per ownership-split apportionment).
- Holding costs: land tax ~\$5,250, council rates ~\$2,676, insurance ~\$488, maintenance provision ~\$1,400, agents' fees ~\$660, offset account fee ~\$120, utilities ~\$1,075.
- Pre-CGT cost base [TO CONFIRM] — likely original acquisition price plus capital improvements; CGT will apply to the non-main-residence portion of Davidson share on disposal.

The three live scenarios

Scenario	Action July 2028	Indicative net cash to Davidsons	Pros	Cons
A. Exit	Sell Davidson 50% share as agreed	~\$750k–\$870k net (after CGT, sale costs, loan repayment) [TO CONFIRM cost base]	Liquidity; simplifies estate; aligns with retirement transition	Loses lifestyle asset; CGT crystallises
B. Buy out	Buy Kendra's 50% (~\$1.05M); use Blackburn equity if Blackburn sold	Davidsons own 100% of OG (~\$2.1M); liquidity reduced; ~\$57k stamp duty	Retains coastal lifestyle property; full rental income (~\$23k p.a. gross 100% share)	Stamp duty cost; 100% holding costs; not main residence; ties up capital
C. Status quo	Defer decision past July 2028	Requires Kendra agreement to defer	Buys time	Kendra has stated intent to sell at the July 2028 window; not yet formalised

CGT treatment on Davidson share — preliminary

Ocean Grove has not been the Davidsons' main residence; the 50% Davidson share is fully assessable for CGT. Sale price portion attributable to the Davidson share less cost base produces the capital gain; held >12 months so 50% CGT discount applies for the individuals. Apportionment between Andrew (16%) and Jodie (34%) means the assessable gain is split between them in those proportions. With Jodie on a low marginal rate (16%) and Andrew likely retired by July 2028 (low MTR), the CGT impact is materially less than it would be in their current working years — favourable timing.

Recommended next steps on Ocean Grove

- Reconstruct the Davidson cost base — original acquisition cost (each share), legal / stamp duty / capital improvements, less Division 43 capital works deductions claimed historically (mandatory cost base reduction under s110-45(2)) and less any Division 40 depreciation claimed on installed assets. Apportionment between the rented (downstairs) portion and family-use portion adds further complexity — engage the accountant specifically on this.
- Open the buy-out conversation with Kendra now — even informally — to confirm her flexibility on either the timing or the buy-out price.
- If Scenario B (buy out) is preferred, obtain pre-approval on borrowing capacity at the time (Andrew may be retired by July 2028 — lending criteria materially different).
- Model the CGT impact on both Andrew and Jodie separately given their low post-2028 income — the sale year should ideally be a year where both members are in low marginal brackets to minimise the assessable gain tax.

18. Strategy 12 — Blackburn downsize and coastal property scenarios

The sticky point as stated

From the May 2026 follow-up email: 'whether ownership of Blackburn can be achieved and having a coastal holiday residence ... the flipside is selling Blackburn, using some equity for the downsizer contribution and have more funds steered towards coastal property but is it possible having small scale Melbourne property?'

This is fundamentally a question of how much of the household's net equity is in non-income-producing residential property vs. income-producing super and investments. The current position is approximately 64% residential / 36% super-plus-investment. The relevant 'small scale Melbourne property' scenario for the Davidsons is a downsize from the current Blackburn home (~\$2,000,000) into a smaller Blackburn-area property such as a townhouse at approximately \$1,400,000 — staying in the local community they value while releasing ~\$600,000 of equity. That figure happens to align almost exactly with the combined downsizer contribution cap, making the math very clean if executed this way.

Scenarios (Blackburn at ~\$2M; townhouse downsize at ~\$1.4M)

Scenario	Blackburn	Ocean Grove	New residence	Indicative super uplift / liquidity
S1 — Keep Blackburn, exit Ocean Grove	Retained (\$2M)	Sold (Davidson share ~\$1M)	Stay in Blackburn	~\$585k flows to super / investment (after CGT, sale costs, loan repayment). No downsizer access
S2 — Sell Blackburn, downsize to \$1.4M townhouse, exit Ocean Grove	Sold (\$2M) → townhouse (\$1.4M)	Sold (Davidson share ~\$1M)	\$1.4M townhouse in Blackburn area	Downsizer \$600k from Blackburn equity; ~\$465k net from OG; ~\$1.05M flows to super / investment + retained liquidity
S3 — Sell Blackburn, downsize to townhouse, buy out Kendra (retain Ocean Grove 100%)	Sold (\$2M) → townhouse (\$1.4M)	Buy out Kendra (~\$1.05M + \$57k stamp)	\$1.4M townhouse + 100% OG	Tight — requires ~\$650k mortgage or additional cash from CMC shares / offset. See cash flow analysis in Q6
S4 — Sell both, rent or use caravan	Sold (\$2M)	Sold (~\$1M)	Rent ~\$40k–\$60k p.a. or permanent caravan site ~\$6k–\$8k p.a.	Downsizer \$600k; ~\$2.0M flows to super / investment / lifestyle
S5 — Sell Blackburn, downsize to townhouse, sell	Sold (\$2M) → townhouse (\$1.4M)	Sold (~\$1M)	\$1.4M townhouse + coastal property ~\$1.0M	Downsizer \$600k; OG net ~\$465k flows to coastal property — tight on stamp duty and liquidity

Ocean Grove,
buy coastal
property

Caravan / coastal life option

The email correspondence raised lifestyle flexibility through caravan / coastal travel, with permanent caravan sites at ~\$6,000–\$8,000 p.a. as a lower-cost alternative to outright property ownership. For modelling purposes, a permanent caravan site is approximately one-tenth the holding cost of an owned coastal home (rates, insurance, maintenance, land tax) and removes concentration risk in residential property.

Recommended approach to this question

- Don't commit to a property strategy until cash flow modelling for Phase 3 (post-July 2028) is complete. The townhouse downsize / coastal property purchase decision should be made downstream of confirming retirement income adequacy.
- If retention of the current Blackburn home is high-priority emotionally, model Scenario S1 carefully — it produces materially less super, which can only partially be offset by aggressive contribution strategies in the pre-2028 window. At Jodie's low income, the contribution levers are limited; the household relies materially on the property liquidation event.
- Stamp duty on any new Blackburn-area property purchase is material (~5.5% Victorian general rate; ~\$77,000 on a \$1.4M townhouse). The Victorian pensioner duty concession is fully expended on properties up to ~\$750,000 and phases out by ~\$750,000 — it will NOT apply on a \$1.4M townhouse, regardless of age-pension status.
- The income tax position of any newly-purchased rental property changes the modelling materially (negative gearing offsets, depreciation, eventual CGT on sale). Strongly recommend a strict 'main residence only' approach to any new acquisition if the goal is simplicity in retirement.

19. Strategy 13 — Investment structure review

Russell allocation at age 61

Andrew's current Russell allocation is 40% defensive / 18% balanced / 42% growth. At age 61 with a planned full retirement in approximately 2 years, this is a reasonable starting point but warrants scrutiny on two fronts:

- Sequence-of-returns risk. A material market downturn in the 2-5 years immediately before or after retirement disproportionately affects the longevity of the pension. The defensive 40% provides protection here but at the cost of long-term return.
- Time horizon for the growth portion. If Andrew and Jodie expect to live to age 90+ (statistically reasonable), the super pool needs to last 25–30 years. Over that horizon, the 42% growth portion may be insufficient to maintain real purchasing power against inflation.
- Consider a bucket strategy approach in pension phase: 1–2 years of pension payments held as cash / very short defensive; 3–7 years in defensive / balanced; 7+ years in growth. This decouples the drawdown from short-term market moves.

Jodie's allocation

- [TO CONFIRM] — Jodie's current Russell investment allocation is not stated. Her balance is currently modest (\$154k). As her balance grows through spouse contributions, spouse splits, and co-contributions, the allocation review should be done in parallel with the contribution decision.
- Jodie is two years younger than Andrew. Her time horizon for super is therefore longer, supporting a slightly higher growth allocation than Andrew's portfolio.

Work fund consolidation

Andrew's \$123,000 work fund is separate from his \$1.1M Russell account. On retirement (or transition to part-time), employer contributions cease and the rationale for keeping the account separate weakens. Consolidating into the Russell account simplifies administration, reduces duplicate admin fees, and consolidates the investment menu. Confirm [TO CONFIRM] whether the work fund includes any default insurance that should be retained or transferred (insurance is out of scope of this paper but the practical decision needs to factor it in).

Don't rush consolidation — Avoid consolidating immediately if the work fund has features the Russell account does not (e.g. defined benefit element, employer subsidies, low-fee MySuper option). Confirm the type of work fund [TO CONFIRM] before action.

20. Strategy 14 — Kids acquiring property (deposit and LMI assistance)

The Davidsons have indicated an intent to assist Luke, Adam and Leah with approximately \$100,000 each to support future property purchases — total ~\$300,000 of intergenerational capital deployment. Three distinct delivery routes apply, each with different cost / control / tax implications. Important nuance: the current lending environment offers genuinely different pathways depending on whether each child is a first home buyer.

Current lender / government scheme landscape (FY26)

- Home Guarantee Scheme (HGS) — federal government scheme allowing first home buyers to purchase with as little as 5% deposit (lender's mortgage insurance waived because the government acts as guarantor for the remaining 15%). Eligibility requires meeting income and property-price thresholds.
- Property price caps under HGS vary state-to-state. Current caps from 1 October 2025: NSW capital and regional centres \$1.5M (other areas \$800k); VIC capital and regional \$950k (other \$650k); QLD capital and regional \$1.0M (other \$700k); WA capital \$850k (other \$600k); SA capital \$900k (other \$500k); TAS capital \$700k (other \$550k); ACT \$1.0M; NT \$600k. Income caps and the annual place limit have been scrapped — price cap is now the main constraint.
- Income caps and the annual place limit were removed from 1 October 2025 — state-based property price caps are now the main eligibility constraint.
- HGS is NOT restricted to new builds — can apply to existing homes, off-the-plan, or new construction. This is a common misconception.
- If a child buys above the HGS price cap, they don't get the free-kick on LMI — they need to either fund a full 20% deposit (avoiding LMI by hitting the 80% LVR threshold) OR pay LMI directly (~\$20,000–\$25,000 cost capitalised into the loan).
- Parental gifting often makes the difference between needing LMI and not. \$100,000 added to a child's deposit on a \$700,000 purchase moves them from (say) 60% LVR with LMI to 47% LVR without — clean and structured.

Three delivery routes

Route	Mechanism	Pros	Cons
Direct gift	Cash transfer to child; child uses as deposit	Simple; immediate; no documentation	Lost from parents' estate; not recoverable if relationship breaks down; subject to Centrelink gifting tests from Andrew age-pension age (67 in 2032)
Loan secured by mortgage	Formal loan agreement; second-ranking mortgage over child's property; repayable on agreed terms	Capital recoverable; protected from child's spousal property settlement; clear paper trail	Administrative cost; legal fees; child cash flow impact of repayments

Equity participation	Davidsons take a percentage ownership of the child's property	Capital tied to property growth; recoverable on sale	CGT consequences for the Davidsons on eventual sale; admin complexity; not main residence for them; rarely recommended
Gift via testamentary trust on death	Capital remains in parents' control; deployed on inheritance	Preserves parental control during lifetime; tax-efficient on transfer	Children wait for inheritance — doesn't help when they need to buy

Practical recommendation

- Stage the assistance — don't commit all \$300,000 upfront. Time each \$100,000 tranche to the actual property purchase event for each child.
- Default to a documented loan agreement rather than outright gift. Preserves capital in case of relationship breakdown. Loan can be forgiven later if not needed.
- Avoid all three children's transfers occurring within the 5-year window before Andrew's age-pension qualifying age (currently 67, so 2027 onwards) — gifts in this window are caught by the Centrelink deprivation rules and treated as continuing assets for age pension testing.
- Check whether each child qualifies for the Home Guarantee Scheme BEFORE the Davidson assistance is structured. If HGS is available, the assistance may better be deployed as renovation budget or stamp duty cover rather than deposit top-up.

Pre-execution checklist — Material edge cases — to be confirmed with the Davidsons' tax accountant before structuring: (a) is any of the assistance triggering Family Trust distribution rules; (b) are any of the children buying in joint names with a partner — affects asset-protection structuring; (c) are any of the children currently bankrupt or under financial pressure that would reach the gifted capital. Detail required in Section 27 (Information Gaps).

21. Strategy 15 — Estate planning upgrade (critical given wealth level)

Current state

- Basic Wills in place, drafted external to Lakeside.
- We assume Powers of Attorney (both financial and medical, including enduring) are in place; please confirm at the next meeting.
- We assume binding death nominations are up to date on all three super accounts (Andrew Russell, Andrew work fund, Jodie Russell) — please confirm at the next meeting.
- Considering testamentary trust structures.

Why testamentary trusts make sense for the Davidson household

- Asset protection. Three adult children in trade / professional careers — protects inheritances from business risk, relationship breakdown, or bankruptcy claims against the children.
- Tax efficiency. Income generated within a testamentary trust can be distributed to beneficiaries on lower tax rates, including to minor grandchildren on adult marginal rates (rather than the punitive Division 6AA minor-trust rates). This benefit applies for the life of the trust (up to 80 years).
- Control over timing of distributions. Particularly useful if any child is in a high-income earning year, has financial difficulties, or has a vulnerable family member.
- Cost as quoted by Lakeside: \$4,000 + GST, or \$2,800 + GST if bundled with the comprehensive financial plan engagement.

Binding death nominations

Super does not flow through the Will. Without a binding death nomination, the trustee of each super fund has discretion to direct the death benefit to any of the eligible dependants (spouse, child, financial dependant, interdependant) — or to the legal personal representative (the estate). For the Davidsons, given the adult-non-dependent-children profile and the intention to use testamentary trusts, the cleanest pattern is typically:

- Binding (non-lapsing where the fund offers it) nomination to spouse first (Andrew → Jodie, Jodie → Andrew) — death benefit paid to spouse tax-free as a tax dependant.
- On second death, nominate the legal personal representative (the estate) — the death benefit flows into the estate and is distributed via the testamentary trust to the children. This routing allows the trust mechanics to apply.
- Risk to avoid: nominating adult children directly. Death benefit paid directly to non-dependent adult children is taxed at up to 17% on the taxable component AND bypasses the testamentary trust, losing both asset protection and intergenerational tax planning.

Intergenerational support — \$100k per child for property

Stated intention: ~\$100,000 per child (~\$300,000 total) to help bring loan-to-value ratios below 80% on future property purchases and avoid Lenders Mortgage Insurance (~\$20,000–\$25,000 per loan saved).

Routes for delivery:

- Direct gift — simplest. May affect Centrelink / Age Pension testing in future (5-year gifting / deprivation rules). Not currently relevant; becomes relevant from Andrew's age pension age (67) onwards.
- Loan secured by mortgage — formal loan agreement, repayable; protects the gifted capital from a relationship breakdown.
- Equity participation — Davidsons take a percentage ownership of the child's property. Most administratively complex; CGT consequences on eventual exit; not typically recommended.
- Gift via the testamentary trust on death rather than now — preserves capital in the parents' control until needed.

Timing point — If the gifts are made before Andrew reaches age pension age (currently 67 in 2032), Centrelink gifting tests are not yet in play. Making the gifts in FY26–FY29 avoids the 5-year lookback window applying to any future age pension claim.

22. Strategy 16 — Insurance: retain Andrew's Lumley IP through the transition phase

Detailed insurance review sits outside the scope of this paper. However, one insurance-related recommendation IS in scope because it is materially valuable and easily lost through inaction: retention of Andrew's existing income protection policy with Lumley.

The policy

Insurer	Lumley Life (per existing COC)
Product	Disability Gold — Income Protection
Benefit	\$8,307 per month to age 65
Premium	\$2,025 per annum (after tax ~\$1,200)
Structure	Guaranteed level rates
Features	Hospital daily benefit (after 72 hours), lump-sum fracture payments, strong own-occupation definition

Why this policy is critical to retain

- Level premiums with guaranteed rates — this structure is no longer available in today's market. Income protection rates have risen approximately 300% over the past 25 years; Andrew's policy was locked in BEFORE that step-up and has held its original pricing through.
- Replacement cost: a comparable IP policy purchased today at Andrew's age would cost approximately \$15,000–\$20,000 per annum on level premiums (assuming a willing insurer at age 61, which is itself unlikely on standard underwriting terms). Andrew pays approximately \$2,025.
- Common mistake to avoid: many clients reach 60 and think 'I'm retired, cancel the insurance.' For a policy like Andrew's, that would be giving up ~\$15,000+ of annual replacement value for a \$2,025 saving. The economics are decisively in favour of retention.
- Premiums are tax-deductible while Andrew has assessable employment income (s8-1). The deduction is sustainable through the casual phase (2026–2028) while Andrew continues to earn at ~\$74k; deductibility after full retirement is uncertain and would need to be tested against ongoing assessable income at that time.
- Covers conditions that cause income loss (cancer, stroke, heart attack, MS, etc.) which are the realistic risks in Andrew's age band. The benefit payable on a typical claim during this period could be hundreds of thousands of dollars over the benefit term.

Direct recommendation — Action: retain the policy through the transition phase (2026–2028) while Andrew continues to earn assessable income at ~\$74k. The policy clearly has value during that period. Before full retirement (mid-2028), pull the Lumley policy schedule and PDS and review the cessation-of-employment clause, offset clauses and agreed-value status before deciding whether to continue paying premiums through to age 65. Whether the contract continues to provide meaningful claim cover post-retirement (when there is no income to replace) is a contract-specific question that needs to be tested against the actual policy wording rather than assumed.

24. Client questions — scenario modelling

This section responds directly to the specific questions raised in Ross's 3 June 2026 summary email. Each question is taken in turn with an indicative answer, the underlying assumptions, and [TO CONFIRM] items that would refine the answer.

Q1 — Should we buy Jodie's sister's share in July 2028, or exit Ocean Grove entirely?

Both paths are viable. The decision turns on three factors: (a) coastal lifestyle priority, (b) borrowing capacity at July 2028 given Andrew likely retired, (c) opportunity cost of \$1.05M tied up in a non-income-producing lifestyle asset vs. flowing into super.

- Buy out (Scenario B in Section 17) preserves the lifestyle asset but requires ~\$1.05M of capital (likely sourced from Blackburn sale proceeds + offset balance) plus ~\$57,000 stamp duty.
- Exit (Scenario A) releases ~\$750k–\$870k net to fund super / Blackburn townhouse purchase / lifestyle and removes ~\$10,000 p.a. of holding costs.
- Hybrid possibility (worth raising): buy out Kendra but with a 5–10 year future-sale plan, with the property converted to 100% rental (no Davidson personal use). This makes the holding costs fully deductible against rental income and creates a clean future CGT event when sold.

Adviser framing — Recommended discussion framing for the client: the buy-out is a lifestyle decision dressed as a financial decision. Don't let the financial modelling answer the lifestyle question. The right framing is: 'Is this property worth \$1.05M of our future financial flexibility?' If yes, do it. If no, exit cleanly.

Q2 — Should we sell Blackburn around July 2028?

Yes, on the numbers — but only conditionally. The household needs at least one significant downsizing event around 2028 to fund the retirement income target. Blackburn is the most logical asset to sell because:

- It has been the main residence — fully CGT-exempt on sale (no tax leakage on \$2M of equity).
- Allows both spouses to use the \$300,000 downsizer contribution into super (provided the 10-year ownership test is met — should be straightforward [TO CONFIRM purchase date]).
- Aligns with the planned timing of full retirement and Ocean Grove resolution.
- The home is described as 'larger than required for future needs' in the May 2026 follow-up.

Conditionality: only sell if there is a clear post-sale residential plan (smaller Blackburn townhouse, coastal property, or both, or rent / caravan combination). Don't sell into temporary accommodation without a target.

Q3 — Will Andrew's super be sufficient for both from July 2028 onwards?

On a strict reading of 'Andrew's super alone' — meaning the existing \$1.1M Russell + \$123k work fund = \$1.22M, growing to approximately \$1.4M–\$1.5M by July 2028 — the answer is: it would fund the household for approximately 15–18 years at the stated income target, before reaching depletion. That is tight given a 25–30 year retirement horizon.

Given Jodie's low income, her own contribution levers (personal deductible and personal NCC) add only modest amounts to her super each year. The big uplift to Jodie's super comes from spouse contribution (\$3k/year from Andrew), spouse split (up to ~\$25k/year of Andrew's concessional contributions),

government co-contribution (\$500/year), and ultimately the Blackburn downsizer (\$300k from Jodie's share of sale).

Projected combined super July 2028	Indicative balance	Sustainable pension income at 5% drawdown
Andrew's super only — no further strategy	~\$1,450,000	~\$72,500 p.a. (insufficient)
Andrew + Jodie current trajectory, no contribution strategy	~\$1,600,000	~\$80,000 p.a. (insufficient)
Add Andrew max concessional + spouse contribution + spouse split + co-contribution	~\$1,750,000– \$1,850,000	~\$87,500–\$92,500 p.a. (still insufficient)
Above + Blackburn downsizer (\$600k combined)	~\$2,400,000– \$2,500,000	~\$120,000–\$125,000 p.a. (meets target)
Above + portion of Ocean Grove proceeds into super (e.g. \$400k NCC bring-forward)	~\$2,800,000– \$3,000,000	~\$140,000–\$150,000 p.a. (comfortable buffer)

Direct answer — Direct answer to Q3: Andrew's super alone is not sufficient. The combined household super, properly built between now and 2028, comfortably meets the target — but ONLY if the Blackburn downsizer contribution occurs. Without selling Blackburn, the household needs to liquidate a meaningful portion of Ocean Grove or commit to a more aggressive drawdown from the existing asset base. The plan provides the path; the Blackburn sale + downsizer is the load-bearing decision.

Q4 — What property-sale proceeds would be required to top up super sufficiently?

If the target combined super balance at July 2028 is approximately \$2.5 million (the 'meets target with buffer' figure), the shortfall to be funded from property sale proceeds is:

Scenario	Combined super pre-property contribution	Shortfall to \$2.5M target	Required from property
Baseline (no contribution strategy, no downsizer)	~\$1,600,000	~\$900,000	Property contribution required: ~\$900k
With Andrew concessional max + spouse strategies for Jodie	~\$1,800,000	~\$700,000	\$600k Blackburn downsizer + ~\$100k from OG
With above + spouse split discipline	~\$1,900,000	~\$600,000	\$600k Blackburn downsizer covers it exactly

Practically, if the Blackburn downsizer (\$600,000 combined) is used and a modest portion of Ocean Grove proceeds (~\$100,000–\$400,000) is directed to super via the non-concessional bring-forward, the target is met with material residual capital left over for the smaller Blackburn townhouse purchase, coastal lifestyle, and gifting purposes.

Q5 — What would the net cash position be in July 2028?

Three scenarios, indicative numbers (all subject to confirmed cost bases, sale costs, and timing — we assume current FY26 thresholds continue and will need to confirm at execution):

Scenario	Property action	Property cash inflow	Less debt / CGT / costs / replacement home	Net cash available
Scenario A — Sell both, downsize to townhouse	Blackburn \$2M + Ocean Grove share \$1M; buy \$1.4M townhouse	\$3,000,000	OG mortgage \$265k + OG CGT ~\$50k–\$120k (low MTR) + sale costs ~\$90k + townhouse \$1.4M + stamp ~\$77k	~\$1,045,000– \$1,115,000
Scenario B — Sell Blackburn, downsize to townhouse, buy out Kendra (keep Ocean Grove 100%)	Blackburn \$2M; buy townhouse \$1.4M; buy out Kendra \$1.05M (plus ~\$57k stamp)	\$2,000,000 from Blackburn only	Townhouse \$1.4M + stamp \$77k + buy-out \$1.05M + stamp \$57k + sale costs \$60k = \$2.644M	SHORTFALL ~\$644,000 — see Q6 below
Scenario C — Sell Ocean Grove only, keep Blackburn	OG Davidson share \$1M; stay in Blackburn	\$1,000,000	OG mortgage \$265k + CGT ~\$50k–\$120k + costs ~\$30k	~\$585,000– \$655,000 (no downsizer access — Blackburn not sold)
Scenario D — Sell both, rent or caravan	Blackburn \$2M + OG share \$1M; no replacement home	\$3,000,000	OG mortgage \$265k + OG CGT ~\$50k–\$120k + sale costs ~\$90k	~\$2,525,000– \$2,595,000 (less ongoing rent ~\$40k–\$60k p.a. OR caravan ~\$6k–\$8k p.a.)

Q6 — Buy out Kendra, sell Blackburn, downsize to townhouse — does this work?

Sequenced numbers under Scenario B (sell Blackburn, downsize to ~\$1.4M townhouse in the same area, buy out Kendra's share of Ocean Grove to retain 100%):

Source / Use	Amount	Running balance
Inflow — Blackburn sale (CGT exempt main residence)	+\$2,000,000	\$2,000,000
Less — Blackburn selling costs (agent ~2.5%, legal, marketing)	-\$60,000	\$1,940,000
Less — buy townhouse (~\$1.4M Blackburn area)	-\$1,400,000	\$540,000
Less — stamp duty on townhouse (Victorian general ~5.5%)	-\$77,000	\$463,000
Less — buy out Kendra 50% Ocean Grove share	-\$1,050,000	-\$587,000
Less — stamp duty on buy-out (Victorian general)	-\$57,000	-\$644,000
SHORTFALL — requires mortgage / additional capital	\$644,000	—

Available capital outside Blackburn proceeds:

- ANZ offset balance: \$80,000
- Jodie business account: \$28,000
- CMC share portfolio (if sold): ~\$165,000 net of CGT

- Total available cash equivalents: ~\$273,000
- Remaining shortfall after deploying all cash equivalents: ~\$371,000

This shortfall could be met by retaining a small mortgage on the Ocean Grove buy-out (Davidsons borrow ~\$400,000 against their newly-100%-owned Ocean Grove property), or by scaling back the townhouse price point to ~\$1.0–\$1.1M, or by not buying out Kendra and instead pursuing Scenario A or D.

Recommended client discussion — Scenario B is the most ambitious of the four. It preserves the coastal asset, achieves the downsizer contribution, and keeps the Davidsons in Blackburn — but it requires either ~\$400,000 of new lending in retirement (at Andrew's reduced post-retirement income, lending criteria are materially tighter), or it requires liquidating the CMC share portfolio and offset cash. Scenario A (sell both + downsize) is much cleaner and leaves ~\$1M+ of liquidity for gifting, lifestyle and contingency. Recommended for the next client conversation: walk through both A and B side-by-side and let the lifestyle preference for the Ocean Grove asset drive the decision, knowing the financial trade-off.

Q7 — Could residue be gifted to children?

Yes, in Scenarios A and C (cash-rich). Scenario B leaves minimal residual for gifting at the 2028 event horizon. Recommended pattern for gifting:

- Allocate ~\$100,000 per child (~\$300,000 total) for property purchase assistance, as discussed in the May 2026 follow-up. Time the gifts to coincide with each child's actual purchase event rather than upfront.
- Consider a formal loan agreement rather than outright gift, to preserve the capital in case of relationship breakdown.
- Avoid gifting more than approximately \$10,000 per year per couple in the 5 years before either spouse reaches age pension qualifying age (currently 67 — Andrew in 2032), to avoid Centrelink deprivation rules.

Q8 — Andrew working ~3 days/week through to July 2028 — financial implications

- Continues a partial income stream — assumed ~\$74,000 gross at pro-rata (60% of current \$123,000). Income tax position drops Andrew into 16%/30% MTR band depending on exact figure.
- Continues SGC contributions — assumed 12% on ~\$74,000 = ~\$8,900 p.a. SGC, plus continued salary sacrifice opportunity.
- Type of work [TO CONFIRM] — if continuing in same industry, non-compete restrictions may apply (the 6-month garden leave referenced in the May correspondence). If genuinely casual / consulting, structuring as a sole-trader ABN or service company could provide additional planning levers.
- Loss of FMCV company vehicle on stepping down — need to budget for replacement vehicle purchase and running costs (estimated \$10,000–\$15,000 p.a. running costs depending on vehicle choice).
- Defers the trigger for re-contribution / pension commencement strategy by ~2 years — provided he meets the 'retired' condition of release on stepping down from full-time, the casual work does not necessarily prevent ABP commencement.

Q9 — Andrew needs to buy a car when he retires

- Indicative new mid-range SUV: \$50,000–\$70,000.
- Indicative late-model used SUV: \$30,000–\$50,000.
- Annual running costs (registration, insurance, fuel, maintenance, depreciation): ~\$8,000–\$12,000 p.a.

- Fund from offset balance (\$80,000) or short-term cash; avoid funding from super (would trigger pension drawdown for non-essential consumption).

Q10 — Share portfolio update: cost base \$56k, current ~\$185k

- Confirmed. Strategy 6 (Section 12) addresses the CGT sequencing.
- Updated unrealised gain: ~\$124,000. At Andrew's current 30% MTR with 50% CGT discount: ~\$18,600 tax on full sale today.
- Recommended action: stagger across post-retirement years when Andrew's MTR drops; pair with non-concessional super top-up.

25. Implementation roadmap

Action	Responsibility	Timing	Status / dependency
Andrew personal deductible contribution ~\$6,880 + Notice of Intent	Andrew / Russell	Before 30 June 2026	Time-critical (FY26 cap)
Andrew spouse contribution \$3,000 to Jodie's Russell account	Andrew	Before 30 June 2026 (claim FY26 offset)	Strategy 2 — annual
Jodie personal NCC \$1,000 to her Russell account (no NOI lodged)	Jodie	Before 30 June 2026	Strategy 3 — annual co-contribution
Pull Andrew's payslip / PAYG summary to confirm SGC YTD, fringe benefits, leave balances	Andrew via employer	Before 30 June 2026	Informs termination payment planning
Pull Andrew's ATO concessional contribution history	Ross via Andrew myGov	Before 30 June 2026	Confirms FY26 cap headroom exactly
Confirm Jodie's business structure and FY25/FY26 taxable income	Jodie / accountant	By 31 July 2026	Refines low-income incentive eligibility
Spouse contribution split lodgement (FY26 Andrew concessional → Jodie super)	Ross / Andrew super fund	FY27 — before 30 June 2027	Annual process
Spouse contribution offset repeat (\$3,000 each year)	Andrew	Each FY through to FY29	Strategy 2 ongoing
Jodie co-contribution repeat (\$1,000 each year)	Jodie	Each FY through to FY30	Strategy 3 ongoing
Raise kids co-contribution opportunity with Luke, Adam, Leah	Ross / Andrew & Jodie / kids	Next family conversation	Strategy 3 — co-contribution extension to children
Reconstruct Ocean Grove cost base for both Andrew and Jodie	Ross / accountant	By December 2026	Critical for CGT planning
Open buy-out / sale flexibility conversation with Kendra	Andrew / Jodie	By December 2026	Drives Scenario A/B/C decision
Confirm Russell vs work fund product details, fees, defined benefit features	Ross	By September 2026	Informs consolidation decision
Review Russell investment allocation against pre-retirement liability profile	Ross	By September 2026	Sequence-of-returns risk
Engage estate solicitor for Wills upgrade to testamentary trusts	Andrew / Jodie	Aligned with FP engagement	\$2,800+GST bundled rate
Lodge / refresh binding death nominations on all three super accounts	Ross / Andrew / Jodie	After estate solicitor advice	Three separate forms required
Confirm / establish Powers of Attorney (financial + medical)	Andrew / Jodie / solicitor	Aligned with Wills	Often bundled with Wills cost

Pre-approval review for OG buy-out borrowing capacity if Scenario B preferred (~\$400k mortgage)	Andrew / Lakeside lending partner	Early 2028	Subject to Andrew employment status at the time
Identify target Blackburn-area townhouse (~\$1.4M) if downsize strategy preferred	Andrew / Jodie / Lakeside	Through 2027	Stamp duty + agent + buy-side timing
Final retirement transition — termination payment / leave / ETP planning	Andrew / Ross / accountant	3–6 months before Andrew's step-down date	Material tax planning lever
Investigate Jodie's small business CGT concession eligibility (15-year rule)	Ross / Jodie / accountant	By December 2026	Potentially material — separate analysis
Commence Account-Based Pension(s)	Ross	On Andrew's full retirement (~July 2028+)	Strategy 7
Re-contribution strategy first cycle (up to \$360k bring-forward)	Ross	FY29 or FY30	Subject to TSB at the time
Downsizer contribution lodgement (if Blackburn sold)	Ross / Andrew / Jodie	Within 90 days of Blackburn settlement	Strategy 5
CMC share portfolio staggered sale	Ross / Andrew	FY29 onwards	Strategy 6
Intergenerational gifts to children for property purchases (staged \$100k tranches; HGS eligibility check per child first)	Andrew / Jodie	Aligned with each child's purchase event	Strategy 13
Maintain Andrew's Lumley IP — do NOT cancel on retirement; review at age 65	Andrew / Ross	Annually through to age 65	Strategy 15
Cross-check material strategies with tax accountant + estate solicitor	Ross / Tristan	Before formal SOA issued	Strategy 16 — peer-review pass
Raise kids' income protection as separate adviser conversation	Ross / Andrew & Jodie / kids	After family financial plan on foot	Family-wide planning lever

26. Alternatives considered and dismissed

Alternative	Why considered	Why dismissed (or deferred)
Jodie carry-forward concessional contributions (5-year unused cap)	Jodie's TSB is under \$500,000 threshold — technically eligible	Jodie's 16% MTR less 15% contributions tax = 1% saving per dollar. Not worth the cash flow commitment; better deployed as NCC for co-contribution
Transfer CMC shares to Jodie's name before sale to use her 16% MTR	Lower MTR than Andrew	Inter-spouse transfer rolls cost base, not market value — no CGT benefit. Strategy is timing Andrew's sale year, not changing owner
Establish a family discretionary trust for income splitting	Could distribute investment income to lower-MTR family members	Adult children all working / earning; benefit limited; administrative cost high
Self-Managed Super Fund (SMSF) instead of Russell	Greater control over asset allocation; potential for property-in-super strategies	Administrative complexity; current balance / strategy doesn't justify; Russell is functional and low-friction
Non-concessional bring-forward contributions in FY26	Both spouses under TSB threshold for bring-forward	Liquidity is needed for the spouse contribution + Andrew final-year top-up; bring-forward better deployed post-property-sale 2028
Negative gearing on additional investment property	Could shelter Andrew's income	Concentration risk already high in property; complicates retirement; works against the de-leveraging goal
Andrew salary sacrifice 100% of bonus (if paid)	Bonus pushes income to 37% bracket — sacrifice saves more tax	Constrained by \$30k concessional cap; minimal headroom; bonus better received and partly directed to NCC contribution
Defer all super contribution strategy until post-retirement	Simpler administration; wait for clarity	Loses 2-3 years of compounding; current FY26 cap is use-it-or-lose-it for Andrew (TSB above \$500k)
Retain Ocean Grove indefinitely (no sale)	Lifestyle asset; emotional attachment	Kendra has stated intent to sell at the July 2028 window — not Davidson's unilateral decision; buy-out only path to retain
Sell Andrew's CMC shares all in FY26 to fund spouse / co-contribution	Provides liquidity for contributions	Andrew is in 30% MTR; CGT realised now is higher than waiting until post-retirement; better to fund from offset / cash flow
Caravan + permanent site instead of coastal property	Cheaper lifestyle option; ~\$6k–\$8k p.a. vs \$20k+ holding costs	Live option — worth pricing into Scenario S4 as a serious alternative

27. Information gaps and next data requests

Items required before any formal Statement of Advice or Record of Advice is issued:

Item	Source	Why it matters
Jodie's most recent tax return (FY25)	Jodie / accountant	Confirms exact taxable income for spouse offset and co-contribution eligibility
Jodie's business structure (sole trader / Pty Ltd / trust)	Jodie / accountant	Determines small business CGT concession eligibility on eventual wind-down
Jodie's business value estimate (goodwill, equipment, stock)	Jodie / accountant / valuer	If material, small business CGT concessions are a high-value lever
Jodie's tenure operating the business (years)	Jodie	15-year rule for small business CGT exemption
Andrew's PAYG payment summary FY26 YTD (or May 2026 payslip)	Andrew via employer	Confirms SGC, salary sacrifice, leave balances, fringe benefits, base salary
Andrew's concessional contribution history (last 5 FYs)	myGov → Super → Information	Confirms FY26 headroom precisely
Termination payment / leave entitlement detail from employer	Andrew via employer HR	Tax planning before retirement event
Russell product specifics (Andrew + Jodie accounts)	Russell statement / Ross's planner desktop	Investment menu, fees, splittable, ABP capability
Work super fund details (product, fees, allocation, DB component)	Andrew via employer / statement	Consolidation decision
Ocean Grove acquisition records — purchase prices, capital improvements, depreciation schedule	Andrew / Jodie / accountant	CGT cost base reconstruction
Blackburn purchase date and price (10-year ownership for downsizer eligibility)	Andrew / Jodie / title search	Downsizer eligibility
CMC share portfolio holdings list with acquisition dates and parcel cost bases	CMC platform / accountant	CGT sequencing precision
Existing Wills, Powers of Attorney, Enduring POAs	Andrew / Jodie / current solicitor	Estate planning baseline
Binding death nominations on all three super accounts	Each super fund	Estate flow planning
Confirmation of Kendra's sale price expectation and any flexibility on the July 2028 date	Andrew / Jodie via family conversation	Drives Scenario A/B/C choice
Indicative Blackburn townhouse target (suburb, price range, condition)	Andrew / Jodie	Stamp duty / financing modelling

Jodie's current super investment allocation
within Russell

Russell statement

Allocation review parity with
Andrew's

28. Appendix — legislation and references cited

Superannuation contributions

- ITAA 1997 Division 291 — concessional contributions cap (FY26 cap: \$30,000).
- ITAA 1997 Section 291-20 — carry-forward of unused concessional cap (TSB <\$500k at 30 June prior FY).
- ITAA 1997 Section 292 — non-concessional contributions cap (FY26 cap: \$120,000 standard, \$360,000 under 3-year bring-forward).
- ITAA 1997 Section 290-170 — Notice of Intent to Claim Deduction for personal contributions.
- Superannuation Industry (Supervision) Act 1993 — work test (applies only age 67–74 for non-mandated contributions; downsizer is exempt).

Spouse contribution offset

- ITAA 1997 Section 290-230 — spouse contribution tax offset (up to \$540 if recipient spouse income < \$37,000, phasing out at \$40,000).
- Maximum offset is 18% of \$3,000 spouse contribution = \$540.

Government co-contribution

- Superannuation (Government Co-contribution for Low Income Earners) Act 2003.
- 50% match on personal non-concessional contribution; maximum \$500 match on \$1,000 personal contribution.
- FY26 income thresholds (indicative): full match below ~\$47,488; phasing out to nil at ~\$62,488.
- 10% income rule: ≥10% of total income from employment or business.

Low Income Super Tax Offset (LISTO)

- ITAA 1997 Subdivision 312 — LISTO contribution.
- Maximum \$500 refund of contributions tax for members with adjusted taxable income < \$37,000.

Contribution splitting

- SIS Regulations 6.40–6.45 — contribution splitting (up to 85% of prior FY concessional contributions).
- Lodged with the splitting member's fund in the financial year after the contributions were made.

Downsizer contribution

- ITAA 1997 Section 292-102 — downsizer contribution definition.
- Eligibility: age 55+ at contribution; 10-year ownership; main residence CGT exemption qualified in whole or part; contribution within 90 days of settlement; \$300,000 cap per individual; election form lodged at or before contribution; does not count against NCC cap; not subject to TSB test.

Transfer Balance Cap and pensions

- ITAA 1997 Subdivision 294-B — Transfer Balance Cap (\$2.0M for FY26 (indexed from \$1.9M baseline), indexed in \$100k increments).

- ITAA 1997 Section 295-385 — exempt current pension income (pension-phase earnings tax-free within TBC).
- SIS Regulations — minimum pension drawdown percentages (age 60-64: 4%; 65-74: 5%; 75-79: 6%; 80-84: 7%; 85-89: 9%; 90-94: 11%; 95+: 14%).

Re-contribution and tax components

- ITAA 1997 Section 307-125 — proportioning rule for benefit components.
- ITAA 1997 Section 302-145 — death benefits paid to non-dependants (taxable component taxed at 15% plus Medicare).

Capital gains tax

- ITAA 1997 Division 115 — CGT discount (50% for individuals on assets held > 12 months).
- ITAA 1997 Section 118-110 — main residence exemption.
- ITAA 1997 Subdivision 126-A — CGT marriage breakdown / inter-spouse rollover (cost-base transfer, not market value step-up).
- ITAA 1997 Subdivision 152 — small business CGT concessions (15-year exemption, retirement exemption, 50% active asset reduction, rollover).

Marginal tax rates (FY26)

- 0 — \$18,200: 0%
- \$18,201 — \$45,000: 16%
- \$45,001 — \$135,000: 30%
- \$135,001 — \$190,000: 37%
- \$190,001 +: 45%
- Plus Medicare levy 2% on most taxable income above the low-income threshold.

Pending legislation noted in May 2026 correspondence

- Division 296 — additional 15% tax on realised earnings attributable to the proportion of an individual's TSB above \$3,000,000, and an additional 10% on the proportion above a separate \$10,000,000 threshold. Both thresholds indexed. The tax applies on a per-person basis (not per-household). Legislated in March 2026; first test date 30 June 2027 (first liability for FY27). On every modelled scenario for the Davidson household, neither member's individual TSB approaches the \$3M threshold, so Division 296 is not an active planning constraint for this household — flagged for awareness only.
- General review of superannuation and tax legislation referenced in the meeting summary — strategy assumes current settings continue and flags where any change would materially affect the recommendation.

29. Addendum 1 — Superannuation contribution types and FY26 caps (quick reference)

Reference table for all contribution mechanisms discussed in this paper.

Forward year — FY27 indexation (from 1 July 2026): concessional cap rises to \$32,500; standard non-concessional cap rises to \$130,000; 3-year non-concessional bring-forward rises to \$390,000. TSB gating thresholds for full / partial bring-forward shift correspondingly. Table below reflects FY26 figures.

Type	FY26 cap	Tax on contribution	Cap counts toward	Key conditions
Concessional (pre-tax)	\$30,000 p.a.	15% in fund (30% for high earners via Division 293)	Concessional cap only	Includes SGC, salary sacrifice, personal deductible (NOI required)
Carry-forward concessional (unused prior caps)	Up to ~\$137,500 cumulative (FY22–FY25 unused)	15% in fund	Concessional cap only	TSB at 30 June prior FY must be < \$500,000
Non-concessional (after-tax)	\$120,000 p.a.	Nil (already-taxed money)	NCC cap only	TSB at 30 June prior FY must be < \$2.0M
Non-concessional 3-year bring-forward	\$360,000 over 3 FYs	Nil	NCC cap only	Triggered automatically if contribution > \$120,000; TSB < \$1.76M for full \$360k
Spouse contribution (from spouse's after-tax money)	Counts toward recipient's NCC cap	Nil	Recipient's NCC cap	Up to \$540 tax offset to contributing spouse; max offset if recipient income < \$37,000, phasing out by \$40,000
Government co-contribution	Up to \$500 received per FY	Nil — government adds to fund	Does not count toward any cap	Personal NCC up to \$1,000 triggers max match; income < \$47,488 for full match
Downsizer contribution	\$300,000 per spouse (one-off per dwelling)	Nil — already-taxed sale proceeds	Does NOT count toward any cap	Age 55+; 10-year ownership; main residence CGT-exempt in whole or part; within 90 days of settlement
LISTO (Low Income Super Tax Offset)	Up to \$500 received per FY	Refund of contributions tax to fund	Does not count toward any cap	Adjusted taxable income < \$37,000; 10% rule for employment income
Spouse contribution split	Up to 85% of prior FY concessional contributions	Already taxed at 15% (no additional tax)	Does not count toward any cap of receiving spouse	Receiving spouse must be < preservation age or < 65 and not retired

How to read this table — Reading the table: 'cap counts toward' tells you whether using one mechanism reduces the amount available under another. Concessional and NCC have separate caps; downsizer / co-



contribution / LISTO / split sit outside both. This is why downsizer is so powerful for high-balance members — \$300,000 in without touching either headline cap.

30. Addendum 2 — FY26 marginal tax rates (Australian residents)

These are the rates used throughout the paper. The 2% Medicare levy is ON TOP OF the income-tax rates shown below for most income earners (threshold \$26,000 single / \$43,846 family; reduces for low-income earners). For high-income earners, the 1.5% Medicare Levy Surcharge may also apply if appropriate private hospital cover is not held.

Forward year — FY27 marginal rates (from 1 July 2026): under the legislated Stage 4 changes, the bottom marginal rate drops from 16% to 15% (the \$18,201—\$45,000 band). Other bands and thresholds otherwise as below. Where this paper compares pre- and post-retirement marginal-rate planning levers for Jodie, FY27 figures should be re-checked at execution date.

Taxable income band	Tax on income in this band	Effective marginal rate (income tax)	Plus Medicare levy	Combined effective rate
\$0 – \$18,200	Nil	0%	Generally nil at this level	0%
\$18,201 – \$45,000	16¢ per \$ over \$18,200	16%	2%	18%
\$45,001 – \$135,000	\$4,288 + 30¢ per \$ over \$45,000	30%	2%	32%
\$135,001 – \$190,000	\$31,288 + 37¢ per \$ over \$135,000	37%	2%	39%
\$190,001 +	\$51,638 + 45¢ per \$ over \$190,000	45%	2%	47%

Andrew's FY26 taxable salary of \$114,640 (after \$8,360 salary sacrifice) puts him in the 30% income-tax bracket, 32% combined with Medicare. Jodie's FY26 taxable income of approximately \$30,000 puts her in the 16% bracket, ~18% combined — and her effective rate is further reduced by the Low Income Tax Offset (LITO).

Why Medicare matters in contribution math — Important: the Medicare levy is a separate tax from income tax. Whenever this paper references 'marginal rate 30%', the actual cash-out-of-pocket effective rate is 32% for income-tax-paying individuals. The contribution-to-super tax saving math uses the 15% contributions tax compared to the combined rate (e.g. 32% - 15% = 17% saving per dollar contributed for Andrew).

31. Addendum 3 — First home buyer schemes and LMI rules (current legislation)

Reference for Strategy 13 (Kids acquiring property). Verify all figures with the lender and the Housing Australia at the time of application — caps and rules update annually.

Home Guarantee Scheme (HGS) — Federal

- Allows eligible first home buyers to purchase with as little as 5% deposit; the federal government guarantees the remaining 15% so that Lenders Mortgage Insurance (LMI) is waived.
- Three streams: First Home Guarantee (general FHB), Regional First Home Buyer Guarantee, Family Home Guarantee (single parents — 2% deposit).
- Income caps removed on 1 October 2025 — state-based property price caps below are now the main eligibility constraint.
- Applies to NEW and EXISTING homes — common misconception that HGS is new-build only.
- Annual place limit removed on 1 October 2025 — no per-FY allocation constraint.

Property price caps from 1 October 2025 (source: Housing Australia)

Location	Capital city / regional centre cap	Rest of state cap
NSW	\$1,500,000	\$800,000
VIC	\$950,000	\$650,000
QLD	\$1,000,000	\$700,000
WA	\$850,000	\$600,000
SA	\$900,000	\$500,000
TAS	\$700,000	\$550,000
ACT	\$1,000,000	—
NT	\$600,000	—
Jervis Bay / Norfolk Island	\$550,000	—
Christmas / Cocos Islands	\$400,000	—

Lenders Mortgage Insurance (LMI) — standard rules outside HGS

- LMI is required when the loan-to-value ratio (LVR) exceeds 80% (i.e. deposit less than 20%).
- Cost varies with LVR and loan size — indicative range \$15,000–\$35,000 for a typical first home purchase. LMI is capitalised into the loan.

- LMI protects the lender, not the borrower. The cost is borne by the borrower but the benefit accrues to the lender.
- If the borrower later refinances, LMI is not transferable — a new LMI premium may apply at the new lender if LVR is still above 80%.

How parental assistance interacts with these rules

- Parental gift / loan that pushes the deposit to 20%+ avoids LMI entirely — clean and simple.
- Parental gift below the 20% threshold still helps but doesn't avoid LMI — the cost is paid as before, just from a higher deposit base.
- If the child is HGS-eligible AND under the price cap, parental assistance may NOT be needed for deposit purposes — better deployed as stamp duty contribution, renovation budget, or held back.
- Lenders may treat parental gifts and parental loans differently for serviceability — formal loan agreement may be required to demonstrate.

32. Closing notes and immediate next steps

This paper sets out a comprehensive view across the Davidson household's financial position. The strategy is materially front-loaded — the highest-value decisions and actions sit in FY26 and FY27, with the property and retirement-transition decisions clustering around July 2028.

Four items warrant immediate adviser attention before the next client meeting:

- Andrew's \$6,880 of FY26 concessional headroom — time-critical and lost if not actioned before 30 June 2026 (~four weeks at time of writing).
- Andrew's \$3,000 spouse contribution to Jodie's super before 30 June 2026 — locks in \$540 tax offset on Andrew's FY26 return.
- Jodie's \$1,000 personal NCC contribution before 30 June 2026 — locks in \$500 government co-contribution.
- Opening the buy-out conversation with Kendra — drives the property scenario tree and several other downstream decisions.

The big-ticket strategic discussion for the next meeting is the property decision (Section 24, Q1 and Q2). Without a Blackburn sale + downsizer event, the household does not reach the \$120k–\$125k net retirement income target. The Blackburn downsize (current home to a smaller Blackburn-area townhouse around \$1.4M) is therefore the load-bearing financial decision in the plan — it preserves the community connection the clients have valued for years, releases ~\$600k of equity that maps almost exactly to the combined downsizer cap, and triggers the largest single super contribution event available to the household. Every other strategy supports or complements it.

Jodie's eventual business wind-down also warrants separate analysis — the small business CGT concessions (Section 23, Strategy 17) could enable a fully CGT-free sale of the business if the 15-year exemption applies, with proceeds contributable to super outside the standard non-concessional cap.

Once the gating data in Section 27 is in hand, this paper can be converted into a formal Statement of Advice with specific dollar recommendations, scheduled implementation steps, and product comparisons where relevant. As a process step, the material strategies in this paper should be cross-checked with the household's tax accountant and estate solicitor before the SOA is finalised — particularly the carry-forward considerations, the re-contribution timing relative to the \$4.2M combined cap, the downsizer eligibility tests, and the testamentary trust structure.

— End of paper —